4. Use of single-year 2024 American Community Survey data, rather than 2020-2024 five-year samples. More recent data for factors such as household overcrowding reflects the fact that housing construction has continued despite flat population growth, and accounts for the improvement in existing conditions in recent years.
5. A clear delineation of need due to projected population changes (i.e. growth, and growth by age category) versus existing need.
6. Avoids double-counting households in Census Bureau-derived data measures.
7. Use of correct data vintages and geographic coverages.
8. Detailed discussion and understanding of household formation rates and population projections.

Items 5 through 8 above reflected specific improvements to HCD's approach compared to SCAG's 6th cycle RHND. In addition, SCAG staff requested that HCD consider using a 5 percent standard for healthy renter market vacancy, which would have a modest reduction in the region's RHND.

HCD did use a 7 percent assumption; however, during the consultation they provided additional citations and rationale to support their assumption, which is based on the approach they had developed in their April 2024 report, *California Housing Futures 2040*[1].

While this exceeds the long-run average (2005-2024) US rental vacancy rate of 6.64 percent, the difference is modest and SCAG staff believe it would be very difficult to demonstrate that this constitutes an "unreasonable application of the methodology and assumptions," which is required in order to substantiate an objection.

Population Projections in the RHND

A foundational component of the RHND, which has remained unchanged for several housing element cycles, is described in Government Code Section 65584.01(a) and underscores that the basis of the RHND is a population projection. Specifically, statute requires that SCAG's regional population forecast used in preparing regional transportation plans (RTPs) "shall be the basis" of the RHND so long as the total regional population forecast for the projection year is within a range of 1.5 percent of the total regional population forecast for the projection year by the Department of Finance.

Details of Connect SoCal 2050's preliminary projections were shared with the CEHD committee in March 2026[2] and the Joint Policy Committee in April 2026. SCAG's total regional population projection for the 7th cycle RHNA's horizon year in 2037 is 0.05 percent above DOF's most recent projection series—within the bounds specified in statute.

[1] See https://www.hcd.ca.gov/rhna/ca-housing-future
[2] See https://scag.ca.gov/sites/default/files/2026-02/CEHD030526fullpacket.pdf#page=51